

INTERNAL COMMUNICATION
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POLICY NUMBER: HWI-HSM-003

GLOBAL HOTEL PROCUREMENT POLICY

This policy establishes the basic requirements for property level procurement and the use and involvement of Hilton Supply Management ("HSM") in the sourcing and procurement of all equipment, materials, and supplies servicing Hilton Owned, Managed and Leased assets via the HSM approved procure-to-pay system.

PURPOSE

This policy establishes the basic requirements for property level procurement and the use and involvement of Hilton Supply Management (“HSM”) in the sourcing and procurement of all equipment, materials, and supplies servicing Hilton Owned, Managed and Leased assets via the HSM approved procure-to-pay system.

Background.

This policy replaces the previous HWI-HSM-002 Purchasing Policy - Goods and Services and HWI-HSM-003 – Use of Hilton Supply Management policies. In 2020, a new Global Corporate Procurement Policy was launched under the HWI-HSM-002 code.

SCOPE

Policy scope includes all hotel service and operating expenditures to be purchased through an approved purchasing channel which may involve a written contract that has received appropriate legal and business reviews and approvals. This policy applies to all Hotel Team Members purchasing goods and services for Hilton’s Owned, Managed and Leased Estate. All monetary amounts shown in this policy are reflected in U.S. Dollar (USD) currency. The failure of any employee to abide by this policy may result in disciplinary action.

Please refer to FP-OPSFIN-146 Hotel Contract Execution and Spending Policy for specific financial delegations of authority.

EXCLUSIONS/EXCEPTIONS

This policy does not apply to Corporate level procurement and spend, which is governed by the “HWI-HSM-002 Global Corporate Procurement Policy”

THE ROLE OF HILTON SUPPLY MANAGEMENT (HSM)

Hilton Supply Management develops and negotiates global and regional pricing agreements with hundreds of industry-leading hospitality product and service suppliers. HSM’s position as a global procurement powerhouse provides unrivaled value-based pricing, superior products and the highest quality service standards through rigorous sourcing events, strategic partnerships, negotiated commercial terms and in-depth global supply chain knowledge. HSM is responsible for supporting supplier qualification, managing and evaluating competitive sourcing engagements in a transparent and auditable process, negotiating purchasing arrangements and business terms within contracts, and serving as an intermediary between hotel stakeholders, manufacturers, and suppliers.

The services of HSM are to be utilized for the sourcing and ordering of goods and services. In addition, Non-Disclosure Agreements (NDAs), Requests for Information (RFI), Requests for Proposals (RFP) and Hilton’s spend contract lifecycle management system are to be facilitated and / or supported by HSM.

SOURCING INTEGRITY

Hilton expects our Team Members to interact with all potential suppliers and business partners as guided under the Hilton Code of Conduct policy HWI-LG-001.

SOURCING AND CONTRACTING

1. Use of Hilton Supply Management

A. Owned, Managed and Leased Hotels

The services of HSM are to be utilized wherever possible. HSM is available to advise hotels on their procurement needs. Utilization of HSM’s purchasing and supply programs will ensure compliance to brand standards. Hilton’s

ability to obtain maximum benefits from these programs requires the cooperation and participation of each hotel. The property by default, should use and implement HSM programs where available.

B. Development of HSM Programs

All purchases in excess of \$100k USD (per annum) must go through an HSM contracted supplier. If there is a need to purchase a good or service not currently contracted by HSM, HSM must be notified, using the Purchasing Notification Form (appendix) found in The Lobby. This includes the purchasing requirements in excess of \$100k USD (assessed once a year on a rolling 12 month basis), the sourcing and ordering of equipment, materials, supplies, and services.

If a situation arises where HSM has a program in place but does not appear to offer competitiveness with other sources, the respective hotel and HSM will work together to secure the best value for the particular product(s) and service(s).

C. Notification to Legal Department

An appropriate background investigation will be conducted by the Legal Compliance team prior to an award of a contract when the following occurs:

- Any contract with a Contract Value is equal to or greater than US\$500,000, will always require Legal Compliance approval, this includes renewals and refresh of the agreements.
 - This includes contracts where there is known anticipated spend, i.e. payments, are split over a number of years.
- All Master Service Agreements will always require Legal Compliance approval.
- Any contract where the location of the counterparty or transactions with that counterparty involve potential trade sanctions.
- Agency Agreements, which are Agreements with consultants, vendors, or other third parties to act as agents for Hilton to obtain government permits or licenses or to engage in lobbying efforts.
- All sponsorship and partnership agreements where Hilton's brand marks and other intellectual property are used.
- Charitable contributions and political agreements.
- Please contact the Legal Compliance Team at The_Legal_Compliance_Team@hilton.com if you have any questions.

D. Price Confidentiality and Exchange of Information

Pricing and supplier sources provided by HSM are considered Hilton's confidential information and shall not to be disclosed to any unauthorized third parties, other suppliers, dealers, or distributors.

E. Quality Assurance and Product Control

Hotels will report to HSM any deficiencies or failures to meet contractual obligations by suppliers, manufacturers, and service providers so that feedback can be considered when determining whether to retain and/or renew supplier contracts and programs.

2. Purchase of Goods and Services

A. Employee Relationships with Potential Suppliers

Employees involved in the purchasing process are obligated to disclose to their supervisor and the Legal Compliance Team any relationships (financial, personal, or otherwise) with potential suppliers prior to bids being solicited from any supplier. Failure to disclose such relationships can result in disqualification of the supplier and disciplinary action for the employee.

B. Prior Use of Supplier

It is common to develop long-term relationships with suppliers who have consistently provided satisfactory service at competitive prices over a period of time. However, the existence of such relationships should not be given excessive weight when finalizing purchasing decisions.

C. Related Party Suppliers

Some potential suppliers may be related (through common investment, ownership, or otherwise) to entities that also may have an ownership or control interest in a Hilton entity. The existence of such a relationship should not be given any weight when finalizing purchasing decisions. Such related party suppliers should receive the same treatment as any other bidder and should be evaluated pursuant to neutral selection factors established through the bidding process (such as price, quality, ability to perform, financial stability / credit check evaluation, etc.). HSM will retain all documentation supporting the selection or non-selection of a related party supplier.

D. Adherence to the Hilton Responsible Sourcing Policy

All Team Members are expected to align sourcing engagements with the guidelines of the Hilton Responsible Sourcing Policy.

E. Payment Terms

Hilton's Corporate standard payment term is Net 60 days from receipt of invoice. Variations should be limited and be no fewer than Net 30 days from receipt of invoice. Variation approval is required at Director/Manager level Finance (or designee) on property or by HSM Director.

EMEA and APAC Markets

The regular payment terms for all participants are 30 to 60 days net, if not further specified and depending on the region. Please confirm with you region Supply Management team. Should discounts apply for earlier payments, i.e. 7 to 14 days net, the hotel/contract owner may proceed subject to having obtained approval from their Regional Director finance and Supply Management. It is recommended to agree weekly or monthly invoices are sent to each participant/hotel for any product or services to effectively manage the number of invoices.

F. Supplier Diversity Program

All U.S. purchases must be handled in a manner consistent with the goals and objectives of HSM's Supplier Diversity Program. For expected purchases over \$100,000 (USD) and where appropriate for the goods / services involved, HSM's goal is to include at least one qualified 1st or 2nd Tier MBE (Minority Business Enterprise) supplier in every competitive bid. For all other regions, the inclusion of MBE Suppliers is encouraged where available.

G. Competitive Bidding

When purchasing goods or services not part of HSM's program, a minimum of three (3) competitive bids should be obtained wherever possible for purchases of \$5K (USD) or higher. Depending on the dollar value of the purchase and the product category, the number of bids will vary. Purchases are not to be divided into separate transactions in order to circumvent bidding requirements.

H. Sole Source Purchases

In limited cases, there may be justification for negotiating with a single supplier. Such situations can occur when one supplier is able to provide a clearly superior product or service with little or no industry competition and/or has experience or skills which are necessary to provide the desired level of service.

In situations where using a sole source supplier is appropriate, and for purchases of \$5K (USD) or higher (outside HSM's program), the party responsible for the purchase must notify HSM about why competitive bidding was not performed, include the estimated annual dollar amount of purchases from the supplier,

I. Rebates, Allowances and Signing Bonuses

Any contract arrangements which provide for any form of payment to the company via rebates, allowances, commissions, signing bonuses, or other form of remuneration to the company must be approved in advance by the Legal Department and HSM. Any such contracts which are not handled directly through HSM must also be approved by the appropriate Corporate Finance or Regional Operations Finance leader as per FP-OPSFIN146 Hotel Contract Execution and Spending Policy. If a contract involving managed properties includes any form of payment to Hilton, it may be necessary to notify the owners of the managed properties that the company is receiving such payments. The Legal Department must be notified of such arrangements to ensure that the proper consents are received from the property owners.

3. Confidentiality, Standard Forms and Insurance

A. Supplier Confidentiality

Team Members are required to use Hilton Legal Department approved confidentiality and nondisclosure agreements. These can be found on The Lobby and should be completed prior to entering into any discussions with suppliers or service providers. This includes, but not limited to, initial supplier contact (electronic, verbal, in person), off-site supplier facility visits, or release of any information that could be deemed confidential.

Even though signed confidentiality agreements are required prior to entering into discussions with suppliers or service providers, Team Members should limit the disclosure of confidential information in those instances to that information that must be disclosed in order for the supplier/service provider to respond appropriately to a bid or to provide the appropriate services/products. If not using SmartSpend, NDAs must be archived in Hilton's contract repository.

All supplier information, including approved suppliers, current pricing and bid responses, are to be treated as Hilton confidential information and shall not be disclosed to any other party or bidder at any time. HSM program pricing must not be divulged to potential suppliers as a means to obtain lower pricing and/or deviate from adhering to HSM programs.

B. Use of Standard Contract Forms and Policies

All purchase commitments via purchase orders, contracts, service agreements, leases, or other form of contractual agreement must be documented on contract templates approved by the Legal Department or have otherwise received Legal approval. Any changes to the standard forms must be approved by the Legal Department. Signed contracts should not be shared with any party outside of the bid cross-functional team. All Team Members must follow FP-OPSFIN146 Hotel Contract Execution Policy.

C. Insurance

Prior to commencing work, all suppliers must provide Certificates of Insurance to evidencing that they are carrying the types of coverage with the limits specified in the applicable contracts. The insurance coverage shall meet the Risk Management requirements stated in FPRM-001- Global Provider Insurance Policy and Checklist.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES	LOCATION
Hilton Anti-Corruption Policy (HWI-LG-009)	Hilton Anti-Corruption Policy (HWI-LG-009)
Hilton Code of Conduct (HWI-LG-001)	Hilton Code of Conduct (HWI-LG-001)
Hilton Trade Sanctions Policy (HWI-LG-014)	https://hilton.sharepoint.com/:u:/r/sites/LS_PoliciesProcedures/SitePages/All-Policies-Procedures.aspx?csf=1&web=1&e=rTzQf9
Hotel Contract Execution and Spending (FP-OPSFIN-146)	Hotel Contract Execution and Spending (FP-OPSFIN-146)
Accounts Payable Ordering and Receiving (FP-OPSFIN-140)	Accounts Payable Ordering and Receiving (FP-OPSFIN-140)
Accounts Payable Supplier Set-Up and Payment (FP-OPSFIN-141)	Accounts Payable Supplier Set-Up and Payment (FP-OPSFIN-141)
Hilton Responsible Sourcing Policy	Hilton Responsible Sourcing Policy
Hilton Information Governance (HWI-IT-010)	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Hilton%20Records%20Management%20Policy.pdf
Global Provider Insurance Policy and Checklist (FPRM-001)	Global Provider Insurance Policy and Checklist (FP-RM-001)
Business Travel and Expense Reimbursement Policy (HWI-HSM-001)	Business Travel and Expense Reimbursement Policy (HWI-HSM-001)
Purchasing Notification Form to HSM	Purchasing Notification Form to HSM

DEFINITIONS

TERM / ACRONYM	DEFINITION
Approval Limits	The total gross economic value of a transaction (e.g., contract, invoice, purchase price, barter / asset value) over the life of a commitment. New commitments are required to be evaluated over a 5-year period.
Buying Channel	Authorized methods of purchasing or leasing materials, goods, and services.

Competitive Bid	Obtained wherever possible for purchases of \$5K (USD) or higher. A minimum of three bids should be obtained when feasible.
Contract	A written agreement that is dated and signed by each party and contains the basic terms and conditions of the agreement between the two parties.
Legal Approval	Prior to execution, all contracts must have the Legal approval by the required personnel per the Hotel Contract Execution and Spending (FP-OPSFIN-146) and the Anti-Corruption Policy (HWI-LG-009) .
\$ (Dollars)	All monetary amounts in this policy are noted in \$USD. The current exchange rate at the time the commitment / contract is entered into applies.
Purchase Order	A Hilton-issued contract for payment that has the required approvals within both this policy and the Hotel Contract Execution and Spending (FP-OPSFIN-146)
Purchase Catalogue	An online catalogue that contains a list of materials, goods, and services for purchase with defined pre-negotiated rates specifically for Hilton.
Records Management Program	The program Hilton utilizes to create, maintain, track, and ensure proper disposition and destruction of records.
SmartSpend	SmartSpend is Hilton's internal intake and requisition procurement tool powered by Coupa used for purchasing and spend requests.
Supplier Vendor Master Database	A list of pre-approved suppliers that have been vetted by HSM to have met the criteria as a prospective supplier to Hilton or which has done business with Hilton in the past or present.

